

**Discussion of
“Buy Now Pay (Less) Later: Leveraging Private
BNPL Data in Consumer Banking”
- Laudenbach, Molin, Roszbach, & Sondershaus**

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What This Paper Does: How Does Observing BNPL Information Affect A Bank's Non-BNPL Lending?

Nordic Bank Data

- Consumer loan applications, credit scores (internal & external), contracts, and repayments, & BNPL with bank
- Compare consumers with recent vs. non-recent BNPL use with bank

Key Results

- Recent BNPL use with bank is an informative signal of credit risk, used by bank to price discriminate consumer loans
- (Recent) BNPL users have: Pr(approved) , interest rate , default 
-  credit access through learning (to repay via BNPL)

#1: Identification

Effects of BNPL Usage In This Paper Apply To A Small Subset Of Consumers (Average Age ~50)

- In US, 12-21% consumers used BNPL in 2022 & average ages < 35
(Federal Reserve, 2024; Consumer Financial Protection Bureau, 2025)
- In Denmark/Norway/Sweden, 18-24% consumers use BNPL

BNPL Usage in Paper	3+ BNPL transactions with Bank in last 12 months (“Internal BNPL”)	“Internal BNPL” + “External BNPL” < 3 BNPL transactions with Bank in last 12 months AND >0 BNPL transactions with Bank ever
Consumer Loan Applications (1,066,503 “Whole Sample”)	2.8% (30,115)	9.2% (98,203)
Consumer Loan Approvals (8,661 “Whole Sample”)	8.7% (754)	15.7% (1,363)

Marginal Information from BNPL in Credit Score

- Paper controls for **external** credit score
- Observe lender’s **internal** credit score
 - Uses Internal BNPL & non-BNPL information
 - Doesn’t use External BNPL information
- **Internal credit score** explains dispersion in offered interest rates:
 - R²  from ~0.3 to ~0.74
 - **Does BNPL use have little-to-no information beyond internal credit score (using non-BNPL information)?**

Table A3 Impact of Having BNPL Experience on Offered Interest Rates
The table shows how being an external BNPL customer affects the offered interest rate. External BNPL applicants have BNPL experience but their BNPL data is not used in risk assessments by the bank. All regressions include daily time fixed effects. Robust standard errors are reported in parentheses. *, **, *** indicate significant coefficients at the 10%, 5%, and 1% level, respectively.

	(1)	(2)	(3)
BNPL External	-0.019*** (0.006)	-0.010* (0.006)	0.003 (0.006)
External Credit Score	0.019*** (0.001)	0.018*** (0.001)	
Internal Credit Score	0.522*** (0.001)	0.520*** (0.001)	0.515*** (0.001)
Constant	6.026*** (0.004)	6.634*** (0.059)	6.472*** (0.058)
Observations	366,757	366,757	
Adj. R ²	0.734	0.735	0.736
Mean dependent	9.348	9.348	9.348
SD dependent	2.389	2.389	2.389
Controls	No	Yes	Yes
Time FE	Yes	Yes	Yes
External Score FE	No	No	Yes

Prediction Problem Or Causal Problem?

- **Prediction Problem:**

Does Past BNPL Use Provide Informative Signal For Non-BNPL Lending Outcomes?

- **Causal Question:**

Does Past BNPL Use Cause Changes In Non-BNPL Lending Outcomes?

(Kleinberg, Ludwig, Mullainathan, Obermeyer, 2015; Mullainathan & Speiss, 2017)

- **Better causal identification methodology would benefit the paper**

- Current identification strategy is conditional on observables & only observe outcomes when bank uses BNPL information
- Ideally want exogenous variation in BNPL usage and/or adoption of BNPL information by bank

- **Ideas for better causal identification strategies**

- Exploit BNPL information dropping off internal credit score: compare applications with BNPL use 12 vs. 13 months prior (alternatively 2 vs. 3 BNPL transactions in last year may also be ok)

(bankruptcy flag lit. e.g., Bos, Breza, & Liberman, 2018; Dobbie, Goldsmith-Pinkham, Mahoney, & Song, 2020)

- Variation in consumer BNPL usage driven by bank starting to offer BNPL services (e.g., IV for BNPL take-up; within-person variation in loan terms pre/post BNPL use)
- Fuzzy RDD (IV) in BNPL credit score (e.g., Shupe & Palloni, 2025)

- **Or lean into prediction problem showing the marginal value of BNPL information**

- I want to know how bank's adoption of BNPL information **changes** their lending decisions, but only post-adoption observed
- Follow methods in prior work (e.g., out-of-sample AUC without vs. with BNPL information) & benchmark to other information (e.g., Berg, Burg, Gombović, & Puri, 2020; Fuster, Goldsmith-Pinkham, Ramadorai, & Walter, 2022; Blattner & Nelson, 2024; Duarte, Fonseca, Kohli, & Reif, 2025; Guttman-Kenney, 2025)

#2: Extensive Margin

Paper Finds “That BNPL Transaction Data Can Expand Credit Access”

- Paper shows loan offer acceptance rates & interest rates vary with BNPL use
- What happens to the **extensive margin**?
 - Does overall quantity of lending  at bank / overall? Is the bank converting more applications?
 - How do terms (interest rates, loan sizes) of Nth consumer loan change within-consumer?
 - How does access vary depending on whether you repay BNPL or default on BNPL?
- To study whether BNPL expands credit access you would need better data as you **do not see loan applications or approvals by other banks & non-banks**

#3: Information Sharing

How To Access Better Credit In The U.S. (+U.K.)

Consumers start without a credit score

1. Take out a credit card
2. Demonstrate low credit risk behaviors
 - Don't miss a credit card payment (by 30+ days),
 - Don't spend to near your credit card limit (utilization)
 - Don't close your credit card
3. Over time your credit score  & you can access cheaper credit

The Problem With...

How To Access Better Credit In The U.S. (+U.K.)

Credit cards are:

- Expensive (~20% APR)
- Hard to pay off debt (need self-discipline on both spending and repayment)
- Amortize slowly (minimum payment is ~1% balance)
- “Junk fees”

Plethora of research shows consumers often misunderstand credit cards, & make costly mistakes (reviewed in Beshears, Choi, Laibson, & Madrian, 2018; Gomes, Haliassos, & Ramadorai, 2021)

BNPL potentially offers a better way for consumers to build credit:

- Interest-free
- Debt amortizes in a few weeks/months
- No junk fees

The Big Unanswered Question: Should BNPL Lenders Share Information?

- BNPL lenders historically do not share information with consumer credit reporting agencies (Equifax, Experian, TransUnion) & BNPL not a credit score input (FICO)
- **Why don't BNPL lenders voluntarily share information?**
 - BNPL use would be interpreted as negative signal (even if repaid loan)
 - FICO/VantageScore & BNPL lenders working on adjusting this
 - Issue not specific to BNPL, also applies to credit building loans (Burke, Jamison, Karlan, Mihaly, & Zinman, 2023) and payday loans (Jansen, Kruger, Maturana, & Shams, 2025)
 - BNPL lenders worried about credit card lenders targeting their profitable customers.
 - Similar to credit card lenders' information sharing decisions (Guttman-Kenney & Shahidinejad, 2025)
 - Heterogeneity by BNPL lenders' business models (e.g., Affirm competing with mainstream credit, Klarna finding new-to-credit customers) could mean some reduced access via reduced relationship lending
- **“How can BNPL payment histories be effectively integrated into traditional credit reporting systems to help borrowers build credit profiles?”**
 - U.S. Department of Housing and Urban Development (HUD) Request for Information, June 2024
- U.K. Financial Conduct Authority (2023) proposed mandating information sharing

Thank You!



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